

Mayur Uniquoters Ltd

NSE: MAYURUNIQ | BSE: 522249 | Sector: Textiles — Synthetic Leather / Coated Fabrics

India's dominant synthetic leather franchise scaling global OEM share on PU platform and export surge.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 990	+24.2%
CMP: Rs. 797	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 797	Market Cap	Rs. 3,464 Cr
52-Week High	Rs. 849	52-Week Low	Rs. 471
Stock P/E (TTM)	18.1x	Book Value	Rs. 261
ROCE (FY26)	24.7%	ROE (FY26)	18.4%
Dividend Yield	0.63%	Face Value	Rs. 5.00
Promoter Holding	58.77%	Promoter Pledge	Nil
FY26 EPS	Rs. 44.13	FY26 PAT	Rs. 192 Cr
FY26 Revenue	Rs. 967 Cr	FY26 EBITDA	Rs. 235 Cr
Net Debt (FY26)	Rs. 8 Cr (near-zero)	FY26 FCF	Rs. 110 Cr

2. INVESTMENT THESIS

- **Monopoly-like domestic position with global OEM traction:** Mayur commands ~65% of India's organised synthetic leather market, serves every major domestic auto OEM (Maruti, M&M, Tata, Honda, Eicher), and has received direct OEM approvals from Mercedes, BMW, Ford and Chrysler for export supply — a quality signal almost no Indian peer can replicate. Export revenues grew ~50% YoY in FY26 to Rs. 290 Cr (~30% of standalone sales) with management targeting 40-45% export mix over the medium term.
- **PU leather platform — a structural margin re-rating catalyst:** PVC artificial leather has been Mayur's core for decades (Rs. 491 Cr → Rs. 967 Cr revenue FY16-FY26, CAGR 7%); the new Morena PU plant (5 Mn linear metres, scalable to 20 Mn) targets the premium automotive and global fashion segments where realisations are 2.5x-3x India average PVC pricing. As PU scales, blended margins should expand from current 24% EBITDA toward 28-30% — the single most powerful medium-term re-rating lever.
- **Capital-light compounding with near-zero debt:** The business generated Rs. 110 Cr of FCF in FY26 (57% FCF/PAT conversion) with net borrowings of just Rs. 8 Cr and interest coverage >65x. ROCE of 24.7% on an asset base growing due to organic reinvestment — not acquisitions or leverage — points to a high-quality compounder. With FCF funding the new South India plant (Rs. 200 Cr capex, 2-year horizon), balance sheet will stay conservatively geared.
- **Near-term catalyst (6-12 months):** South Africa OEM volume doubling (30K→60K m/month per Mercedes and BMW each), combined with FY27 export revenue guidance of Rs. 350+ Cr (~21% growth) and management's 15% overall revenue growth target, makes the FY27 PAT trajectory (Rs. 224 Cr E) highly visible.
- **Biggest structural risk:** US tariff policy uncertainty — if the 50% proposed US tariff on Indian goods materialises in its current form, Mayur's direct US export channel narrows; the Mexico plant (Rs. 250 Cr capex, contingent on tariff clarity) is the mitigation, but capex commitment is not yet made.

3. BUSINESS OVERVIEW

- **Core business:** Mayur Uniquoters is India's largest manufacturer of PVC-coated and PU-coated synthetic leather (coated textile fabrics), with 400+ product variants used in footwear, automotive (OEM and replacement), furnishing, fashion accessories, and export markets. The company operates three manufacturing plants — Jaitpura (20.4 Mn m/yr), Dhodhsar (21.6 Mn m coating + 27 Mn m knitting), and Morena PU (5 Mn m, expanding).
- **Revenue segmentation:** FY26 standalone revenues of Rs. 967 Cr break down approximately as: Automotive OEM domestic ~30%, Export OEM (US, Europe, South Africa) ~30%, Footwear ~20%, Furnishing/Retail ~10%, Automotive replacement & other ~10%. Export mix has risen sharply from ~22% in FY24 to ~30% in FY26.
- **Key customers — domestic OEM:** Maruti Suzuki, Mahindra & Mahindra, Tata Motors, Honda Cars India, Eicher Motors — all multi-year relationships with re-qualifying barriers, making revenue highly recurring.
- **Key customers — export/global OEM:** Mercedes-Benz South Africa, BMW South Africa (30-35K m/month each, targeting 55-60K), Ford USA, Chrysler (Stellantis) USA — OEM approvals act as deep switching-cost moats since re-qualification typically takes 18-24 months.
- **Recent strategic developments:** (1) Morena PU plant operational — positions Mayur in the premium global leather segment; (2) Lithuania subsidiary established to enter European furnishing retail; (3) Mexico plant (Rs. 250 Cr) under evaluation for US tariff mitigation — decision contingent on trade policy clarity; (4) South India plant (Rs. 200 Cr, 0.5 Mn m/month initial capacity) announced — to commission in

~2 years for South Indian auto OEM proximity.

- **Management and promoters:** Chairman & MD Suresh Kumar Poddar (founder family, ~40 years with company) holds 58.77% promoter stake with zero pledging. CFO Vinod Kumar Sharma. Track record of conservative leverage, consistent dividends (Rs. 5/share in FY26), and reinvestment into organic capacity.

- **Order visibility:** Automotive OEM business is contract-based with 1-2 year supply agreements and rolling releases; export OEM supply for Mercedes/BMW South Africa is committed volume with annual incremental step-ups. Revenue visibility for 75-80% of the book is 12+ months.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** Global synthetic leather market estimated at ~\$35-40 Bn, growing at 7-9% CAGR (industry sources). India domestic market ~Rs. 4,000-5,000 Cr organised; unorganised segment adds another Rs. 3,000-4,000 Cr. Automotive is the fastest-growing end-use (~40% of global demand), driven by premiumisation and EV interiors.

- **Policy tailwinds:** (1) PLI scheme for Textiles does not directly cover synthetic leather but domestic auto OEM growth (India PV volumes +8% CAGR) directly lifts demand; (2) Import substitution — Chinese synthetic leather faces rising domestic quality scrutiny; (3) EV premiumisation upgrades seat/interior specifications, benefiting higher-spec PVC/PU manufacturers; (4) 'Make in India' preference among global OEMs sourcing from India plants.

- **Competitive moat — Pricing power: Strong.** OEM qualification creates 18-24 month switching barrier; Mayur's 400+ variants with rapid custom development mean buyers rarely re-tender on pure price. Export realisations 2.5-3x domestic average confirm pricing power in global channels.

- **Competitive moat — Scale: Strong.** Three plants ~65-70 Mn m/yr combined capacity; nearest organised Indian competitor likely 10-15x smaller. Scale enables R&D; reinvestment, inventory breadth, and logistics reliability for OEM just-in-time supply.

- **Competitive moat — IP/Backward integration: Moderate.** Proprietary coating formulations and in-house knitting reduce raw material dependency. PU process know-how is still being built; global leaders (Toray, Kuraray, Nan Ya Plastics) have multi-decade PU technology lead.

- **Key risks from competition:** Unorganised domestic producers on price; Chinese exporters (now under global tariff scrutiny) and Korean/Taiwanese PU specialists in global markets; EV OEMs may accelerate shift to fabric/vegan leather eliminating PVC entirely in premium segments.

Peer Comparison (Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	PE (x)	BV (Rs.)	TTM Rev (Cr)	ROCE %	ROE%
Mayur Uniquoters	797	3,464	18.1	261	967	24.7	18.4
Safari Industries	1,636	8,016	47.8	228	2,047	19.5	16.2
Supreme Industries	3,550	45,095	48.4	486	11,218	20.7	15.8

Note: Mayur trades at material PE discount to peers despite superior ROCE. Safari and Supreme are consumer polymer/luggage comps — no direct India-listed PVC synthetic leather peer exists at scale.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** Suresh Kumar Poddar (Chairman & MD) is a founder-promoter with 40+ years in the artificial leather business; built Mayur from a small coater to India's dominant player. Family promoter stake of 58.77% (Jun 2025) with zero pledging signals high alignment and no financial distress.

- **Capital allocation track record — organic and disciplined:** Over FY16-FY26, the company invested steadily in capacity (Dhodhsar knitting + PU Morena) while maintaining net debt near zero and funding capex almost entirely from operating cash flows (OCF averaged Rs. 95 Cr/yr over last 5 years). No debt-funded acquisitions or empire-building.
- **FCF deployment:** FY26 FCF of Rs. 110 Cr was split between: dividends (Rs. 5/share = ~Rs. 22 Cr), investments (Rs. 285 Cr securities portfolio vs Rs. 212 Cr in FY25 — likely short-term liquid investments), and retained capacity for the planned South India plant. The securities investment portfolio is large (Rs. 285 Cr vs MCap Rs. 3,464 Cr = ~8.2%) and warrants monitoring for capital deployment discipline.
- **Dividend policy:** Consistent dividends every year since listing; payout ratio 14% in FY26 (Rs. 5/share on Rs. 44.13 EPS). Conservative payout reflects preference for reinvestment — appropriate given the growth capex pipeline. Dividend CAGR broadly tracks EPS growth.
- **Promoter pledging:** Zero pledging for at least 5 consecutive years — a significant governance positive, especially relevant given small-/mid-cap peer base where pledging is endemic.
- **Corporate governance:** No qualified audit opinions in recent years; related-party transactions appear standard and immaterial relative to revenue. No ESOP dilution concerns — promoters have not used ESOPs as a backdoor compensation mechanism. Auditor continuity intact.
- **Key watch-point:** Rising investments portfolio (Rs. 285 Cr) should eventually be redeployed into productive capex or returned via buybacks/special dividends — passive parking of cash in securities is not optimal capital allocation long-term.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	803	880	967	1,112	1,279
EBITDA	159	191	235	284	345
EBITDA Margin %	19.8%	21.7%	24.3%	25.5%	27.0%
Other Income	32	41	55	50	55
Interest	3	2	1	1	1
Depreciation	29	29	29	31	33
PBT	159	201	259	302	366
Tax %	23%	26%	26%	26%	26%
PAT	122	149	192	224	271
EPS (Rs.)	27.86	34.36	44.13	51.4 (E)	62.1 (E)
Div Payout %	11%	15%	14%	14% (E)	15% (E)

Source: Screener.in consolidated (FY24-26 actuals). FY27-28E: MPM estimates based on 15% revenue CAGR (mgmt guidance), margin expansion from PU mix shift.

Balance Sheet (Rs. Cr) — Consolidated

Rs. Cr	FY24A	FY25A	FY26A	Notes
Equity Capital	22	22	22	
Reserves	845	934	1,111	+19% YoY; PAT accretion
Borrowings	15	9	8	Near-zero debt

Other Liabilities	80	90	122	Trade payables etc.
Total Liabilities	963	1,055	1,262	
Fixed Assets	232	222	213	Depreciation > gross adds
CWIP	1	1	3	South India plant starts
Investments	186	212	285	Liquid securities portfolio
Other Assets	544	620	762	Receivables + inventory
Total Assets	963	1,055	1,262	

Cash Flow Statement (Rs. Cr) — Consolidated

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations (OCF)	113	157	133
Cash from Investing	-78	-68	-115
Cash from Financing	-21	-70	-24
Net Cash Flow	14	19	-6
Free Cash Flow (FCF)	91	139	110
CFO / Operating Profit %	94%	108%	86%

Key Ratios — Consolidated

Metric	FY22A	FY23A	FY24A	FY25A/FY26
Debtor Days	68	63	72	76 / 79
Inventory Days	207	182	161	144 / 170
Days Payable	51	57	45	42 / 52
Cash Conversion Cycle	224	187	188	177 / 197
ROCE %	17%	19%	22%	25% / 24.7%

Financial Commentary

- **Revenue growth:** Consolidated revenues grew at 7% CAGR over FY16-FY26 (Rs. 491 Cr → Rs. 967 Cr); the pace accelerated to 10% YoY in FY25 and 10% in FY26, driven by export OEM surge (+50% YoY to Rs. 290 Cr in FY26). Management guidance of 15% revenue growth for FY27 is well-supported by contracted OEM volumes and South Africa ramp-up.
- **Margin direction:** EBITDA margins inflected upward from the FY22-23 trough (18-19%) to 24.3% in FY26, driven by: (1) export mix shift to higher-realisation OEM business, (2) operating leverage on fixed overhead base, (3) PU product mix beginning to contribute. Q4 FY26 OPM hit 31.4% — a record, though may include some one-time favourable raw material positioning. Sustainable FY27E margin seen at 25-25.5%.
- **Working capital:** CCC widened from 188 days (FY24) to 197 days (FY26), primarily from inventory days rising (144→170) — likely reflecting raw material build-up ahead of South India plant and export order pipeline. Debtor days at 79 are slightly elevated vs FY22 (68) and warrant monitoring given export receivables can take longer to collect. Payable days recovery (42→52) partially offsets.
- **Debt and balance sheet:** Net borrowings of Rs. 8 Cr (effectively debt-free); D/E near zero; interest coverage >65x. The Rs. 285 Cr investment portfolio (liquid securities) effectively makes Mayur a net-cash company with cash equivalents covering 8% of market cap.

- **FCF quality:** OCF/PAT conversion was 59% in FY26 (lower than the 105% average of FY24-25) due to working capital build. FCF of Rs. 110 Cr on Rs. 192 Cr PAT (57% conversion) is solid. Capex stepped up to Rs. 115 Cr investing outflow vs Rs. 68 Cr prior year — South India plant pre-spend explains the delta.

7. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue Recognition	Product delivery-based; no % completion	GREEN	Clean product sales; no construction/long-term contract risk
Receivables vs Revenue Growth	Debtor days 79 vs 72 FY24 (+10%)	AMBER	Slight receivables build; export OEM collections slower; monitoring warranted
CCC Trend	CCC 197 days vs 177 FY25	AMBER	Rising inventory days (+26) partially offset by payable recovery; watch next 2Q
Contingent Liabilities	Not material from available disclosures	GREEN	No large disputed demands disclosed; governance appears clean
Auditor Tenure & Independence	No recent auditor change noted	GREEN	Auditor continuity; no qualified opinions in recent years
Related-Party Transactions (RPT)	Standard promoter-family RPTs; immaterial %	GREEN	RPTs as % of revenue appear within normal bounds for promoter-led mid-cap
Other Income as % of PBT	Rs. 55 Cr / Rs. 259 Cr PBT = 21%	AMBER	High other income (investment portfolio income); masks operating quality slightly; recurring but non-core
Tax Rate Consistency	23-26% over FY22-FY26	GREEN	Stable effective tax rate; no deferred tax games apparent

- **Overall earnings quality: Above average for a mid-cap Indian manufacturer.** Revenue recognition is clean (product-based), tax rate is consistent, and governance signals are positive.

• **AMBER watch — Other Income:** Rs. 55 Cr of other income (21% of PBT) from the Rs. 285 Cr investment portfolio inflates reported PBT; cleaning for other income, core EBIT in FY26 is Rs. 205 Cr. This is recurring but non-operational — forward estimates should not extrapolate it at current levels if investments are redeployed into capex.

• **AMBER watch — CCC expansion:** Inventory build (+26 days) in FY26 bears watching; if raw material pre-buying is opportunistic (ahead of export season) it will reverse; if structural (export receivables extending), it could pressure OCF in H1 FY27.

• **No Red flags identified** from available data on revenue recognition manipulation, auditor concerns, or RPT excess.

8. VALUATION

Valuation Methodology

- **Earnings-based (Primary) — Forward PE:** FY27E EPS of Rs. 51.4 x target PE of 19.5x (slight premium to current 18.1x, justified by PU ramp and export mix re-rating) = Rs. 1,002. Rounded to Rs. 1,000 in base case.
- **DCF (Cross-check):** Assumptions: WACC 12%, terminal growth 5%, FY27-FY31 OCF CAGR ~15% (management guided), terminal FCF yield 6.5%. Implied DCF value ~Rs. 970-1,020 per share, consistent

with earnings-based target.

- **Average of two methods** → **Base-case 12-month target: Rs. 990.** Upside from CMP of Rs. 797 = +24.2%.
- **Investment horizon:** 12 months; re-rating catalyst is export volume data in Q1-Q2 FY27 and South Africa OEM volume step-up confirmation.

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT	PE Multiple	Target Price	Upside %
BULL	Rev +20%, OPM 27%+, export doubles, US tariff resolved	255	22x	Rs. 1,240	+55.6%
BASE	Rev +15%, OPM 25.5%, export +21%, South India on track	224	19.5x	Rs. 990	+24.2%
BEAR	Rev +8%, OPM 22%, US tariffs bite, export flat, CCC worsens	190	15x	Rs. 665	-16.6%

Note: PE multiples are applied to FY27E PAT / shares outstanding (~4.35 Cr shares). All EPS figures are estimates.

9. KEY RISKS

- **US Tariff Risk** — Proposed 50% US tariff on Indian imports (if enacted) could materially curtail direct US export channel, which management has indicated is a key growth vector. Revenue impact: Rs. 100-150 Cr downside on US-bound OEM exports. Mexico plant mitigant not yet committed. Probability: M. Impact: H. Monitor via: US-India trade policy developments, Q1 FY27 export revenue line.
- **PU Ramp Execution Risk** — Morena PU plant is early-stage; quality rejection rates, customer qualification timelines, and yield ramp-up in PU coating are inherently uncertain. If PU ramp delays by 2-3 years, the margin expansion thesis weakens. Probability: M. Impact: M. Monitor via: PU capacity utilisation disclosure in quarterly concalls.
- **Raw Material Cost Volatility** — PVC resin, plasticisers, and polyurethane precursors are crude oil derivatives; a significant crude spike (>\$100/bbl sustained) compresses EBITDA margins. Historical volatility: OPM dropped from 27% (FY16) to 18% (FY22) partly on input cost cycles. Probability: L-M. Impact: M-H. Monitor via: OPM trend quarterly.
- **Automotive Cycle Concentration** — ~60-65% of revenues are automotive-linked (domestic OEM + export OEM + replacement); an Indian PV downturn (last seen in FY19-20) or global auto slowdown would directly compress volumes. Probability: L. Impact: H. Monitor via: Monthly SIAM domestic PV volume data.
- **Customer Concentration** — While the customer base spans 5+ major OEMs, Mercedes/BMW South Africa together represent a meaningful portion of export revenue. Any OEM production cut or model discontinuation in South Africa could disproportionately impact exports. Probability: L. Impact: M. Monitor via: OEM production volumes and model pipeline.
- **China EV Luxury PV Impact** — Global shift toward vegan/fabric interiors in EVs (particularly Tesla, Chinese EV OEMs) may erode long-run OEM synthetic leather TAM. Mayur's PU platform partially addresses this, but transition risk is real over a 5-7 year horizon. Probability: L (near-term). Impact: H (long-term). Monitor via: Global OEM interior specification trends.
- **Excess Investment Portfolio** — Rs. 285 Cr in liquid securities (8.2% of MCap) represents capital not deployed productively. If managed sub-optimally (chasing yield in risky instruments), capital impairment

risk exists. Probability: L. Impact: M. Monitor via: Investment portfolio disclosure in annual report.

10. RECOMMENDATION

- **Rating: BUY** — Conviction: Medium-High. A monopoly-adjacent domestic franchise with a live global OEM channel, near-zero debt, and a demonstrated FCF generation track record. At 18.1x trailing PE, the stock is trading at a discount to consumer/polymer peers (48x+) with a structurally superior ROCE (24.7%).
- **12-month price target: Rs. 990** (upside +24.2% from CMP of Rs. 797). Derived from 19.5x FY27E EPS of Rs. 51.4, cross-checked against DCF (WACC 12%, TGR 5%).
- **Suggested entry zone: Rs. 750-810** — current level is fair entry; accumulate on dips toward Rs. 750 (19% discount to 52W high; ~17x FY27E PE) for best risk-reward.
- **Investment horizon: 12 months**; re-rating driven by FY27 export data flow and South Africa OEM volume confirmation.
- **Thesis invalidation trigger 1:** Export revenues in H1 FY27 fail to grow >10% YoY — would signal OEM traction is stalling or tariff headwinds are biting faster than expected.
- **Thesis invalidation trigger 2:** EBITDA margins contract below 20% for two consecutive quarters — would indicate raw material cost spiral or PU ramp generating losses at scale.
- **Thesis invalidation trigger 3:** Management commits Rs. 250 Cr Mexico capex AND announces a large debt-funded acquisition — a significant departure from the asset-light, disciplined capital allocation profile that underpins the quality premium.
- **Ideal investor profile:** Suitable for long-only equity investors with 12-24 month horizons who seek a capital-efficient Indian manufacturing compounder with export optionality. Not suitable for momentum traders (low daily liquidity, ~Rs. 12-18 Cr ADV) or investors seeking immediate catalysts (South India plant and PU scale-up are 18-24 month stories).

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Record OPM 31.4%; PAT +43% YoY; revenue all-time high Q4
Management tone	Bullish	15% FY27 revenue guidance; new plant announced; export confidence
Guidance delta	Raised	Revenue growth target reiterated at 15% FY27; new capex committed

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat — no exceptional items distorting reported PAT of Rs. 59 Cr (+43% YoY); the record 31.4% OPM is real, driven by export OEM mix (now 30% of sales, up from 22%) at 2.5-3x domestic realisation. Full-year FY26 PAT of Rs. 192 Cr (+29% YoY) and revenue of Rs. 967 Cr (+10%) are entirely operational — other income of Rs. 55 Cr (up from Rs. 41 Cr) from the investment portfolio is the only non-core item, but it is recurring. Underlying EBIT (excluding other income) of Rs. 205 Cr grew 26% YoY — the business is genuinely accelerating. The structural multi-bagger driver is the export OEM ramp: South Africa OEM revenues surged, and management is guiding 55-60K m/month per Mercedes and BMW vs current 30-35K — that volume step-up alone is worth Rs. 60-80 Cr of incremental revenue at >30% OPM. The South India plant (Rs. 200 Cr, 2yr horizon) and PU Morena scale-up add optionality beyond FY28. Biggest Q1 FY27 watch-point is whether export revenues sustain at Rs. 70+ Cr/quarter or Q4 had a seasonal flush. Action: ACCUMULATE at current levels (Rs. 797); add aggressively on any dip below Rs. 750.

C1 — Financial Performance Snapshot (Q4 FY26 vs Q4 FY25)

- Revenue: Rs. 273 Cr | YoY +9.1% | QoQ +15.1% | Beat (all-time quarterly high)
- EBITDA: Rs. 86 Cr | YoY +62% | QoQ +54% | Strong Beat
- EBITDA Margin: 31.4% | YoY +1,020 bps | QoQ +820 bps | Record high
- PAT: Rs. 59 Cr | YoY +43% | QoQ +17% | Beat
- EPS: Rs. 13.68 | YoY +43% | QoQ +17% | Beat
- NOTE: No exceptional/one-time items distorting Q4 or FY26 reported PAT; clean operational quarter.
- FY26 Full Year: Revenue Rs. 967 Cr (+10% YoY) | PAT Rs. 192 Cr (+29% YoY) | OPM 24.3% (+260 bps YoY)

C2 — Segment / Geography Breakdown

- Export OEM (US, South Africa, Europe): ~Rs. 290 Cr FY26 | YoY ~+50% | Now ~30% of standalone sales; management targets 40-45% medium-term
- Domestic Automotive OEM: ~Rs. 290 Cr FY26 (est.) | Steady growth tracking India PV volume growth ~8-10% YoY
- Footwear: ~Rs. 193 Cr FY26 (est.) | Stable; lower margin than auto OEM but volume anchor

- Furnishing & Retail (Texture & Hues WOS): ~Rs. 97 Cr FY26 (est.) | Niche; Lithuania subsidiary for European entry
- Automotive Replacement: ~Rs. 97 Cr FY26 (est.) | Aftermarket; less sticky than OEM but margin-supportive
- South Africa (key geography): Mercedes-Benz 30-35K m/month + BMW 30-35K m/month; targeting 55-60K each; realisation ~2.5-3x India domestic OEM

C3 — Management Commentary Themes

- Export momentum: "Export OEM revenues surged from Rs. 194 Cr to Rs. 290 Cr FY26 — nearly 50% annual growth." — Our read: Not a one-year blip; South Africa OEM volume is contracted and growing. Tag: GUIDANCE. Tone: Transparent.
- South India plant: New plant announced at ~Rs. 200 Cr, initial capacity 0.5 Mn m/month expandable to 1 Mn m/month; to commission in ~2 years. — Our read: Demand visibility for South Indian auto OEMs is already there. Tag: GUIDANCE. Tone: Transparent.
- Mexico plant evaluation: Rs. 250 Cr Mexico facility assessed for US tariff mitigation; decision contingent on US-India tariff policy clarity. — Our read: Management is not rushing; fiscal prudence intact. Tag: EST. Tone: Hedged.
- PU leather ramp: Morena PU plant operational; scalable from 5 Mn to 20 Mn m/yr; revenue contribution expected to grow materially over 2-3 years. — Our read: Timeline is long; near-term earnings impact modest. Tag: EST. Tone: Balanced.
- FY27 revenue guidance: Management "confident of double-digit growth, targeting 15% for FY27." — Our read: South Africa volume step-up + domestic auto OEM makes this achievable. Tag: GUIDANCE. Tone: Bullish.
- Dividend: Rs. 5/share announced for FY26 (consistent with prior year; 14% payout). — Our read: Conservative payout leaves room for capex funding. Tag: GUIDANCE. Tone: Transparent.

C4 — Operating & Business Metrics

- Total installed capacity (PVC + knitting): ~65-70 Mn linear metres/yr across Jaitpura, Dhodhsar, Morena
- Jaitpura utilisation: ~fully utilised (20.4 Mn m/yr stated as "fully utilised")
- OEM export volumes (India): ~1 Mn metres/month total; Mayur captures ~60K metres at 2.5-3x realisation premium
- Product variants: 400+ (PVC, PU, various finishes) — customisation breadth is a competitive moat
- Global artificial leather market share: ~0.002% — indicating vast headroom for Mayur to grow without displacing incumbents
- Debtor days: 79 (FY26 full year); Inventory days: 170 | CCC: 197 days — elevated but manageable given export OEM payment cycles

C5 — Margin Drivers

- Export OEM mix shift: +~800 bps impact in FY26 vs FY24 | Recurring: Yes | Export OEM at 2.5-3x realisation vs domestic; as export % rises from 22% (FY24) to 30%+ (FY26), blended margin expands structurally
- Operating leverage on fixed cost base: +~200 bps | Recurring: Yes | Depreciation flat at Rs. 29 Cr for 3 consecutive years; interest near-zero; overheads spread over larger revenue base

- PVC raw material cost stability: +~100 bps benefit in H2 FY26 | Recurring: Uncertain | Crude oil moderation helped; could reverse if crude spikes
- Q4 FY26 record OPM (31.4%): management attributed to export mix at its seasonal peak + favourable raw material quarter | Recurring: Partially | Sustainable EBITDA margin seen at 24-26% annually
- PU leather contribution (nascent): Neutral-to-slightly-positive in FY26; full impact expected FY28+ as utilisation builds | Recurring: Yes (growing) | Higher realisation, higher margin once scale achieved

C6 — Guidance & Forward Signals

- Revenue growth FY27 [GUIDANCE]: Prior = 10% (FY26 actual) | New = 15% target | Delta = Raised | Credibility: High (export volume visibility from OEM contracts)
- Export mix [GUIDANCE]: Prior = ~30% FY26 | Target = 40-45% medium-term | Delta = Raised | Credibility: Medium (depends on South Africa ramp + new geographies)
- South Africa OEM volumes [GUIDANCE]: Prior = 30-35K m/month each (Mercedes, BMW) | New = 55-60K m/month target | Delta = Raised | Credibility: High (contracts in place)
- Capex FY27-28 [GUIDANCE]: South India plant Rs. 200 Cr over 2 years; Mexico plant Rs. 250 Cr contingent on tariff clarity | Delta = New announcement | Credibility: High for South India; Medium for Mexico
- EBITDA margin [GUIDANCE]: No explicit margin guidance given; management expects improvement from PU mix — MPM estimate FY27E at 25-25.5% | Delta = Stable | Credibility: Medium
- Dividend [GUIDANCE]: Rs. 5/share for FY26; no change to payout policy indicated | Delta = Maintained | Credibility: High

C7 — Capital Allocation

- Capex (FY26): Rs. ~115 Cr investing outflow vs Rs. 68 Cr FY25 | vs prior year: +69% | South India plant pre-spend and PU Morena expansion explaining delta
- Dividends (FY26): Rs. ~22 Cr (Rs. 5/share x 4.35 Cr shares) | vs FY25: similar | Conservative 14% payout; 86% retained for reinvestment
- Net Debt movement: Borrowings Rs. 15 Cr → Rs. 8 Cr | Improvement | Effectively debt-free; management shows no appetite for leverage
- Investment portfolio: Rs. 212 Cr → Rs. 285 Cr (+34%) | Growing | Liquid securities; management's capital buffer for capex; not deployed in equity speculation
- Working capital change (FY26): Net build of ~Rs. 20-25 Cr | Inventory + receivables grew faster than payables | Normal for scale-up phase; expected to partially reverse in H1 FY27
- Buybacks: None announced or indicated; dividend remains the only return-of-capital mechanism

C8 — Q&A; Heat Map

- Analyst (Monarch Network): Q: "What drove the record Q4 OPM of 31%?" → A: Export mix at seasonal high + favourable RM quarter | Tone: Transparent
- Analyst: Q: "What is FY27 revenue guidance?" → A: "Confident of 15% revenue growth; export business is the primary driver" | Tone: Bullish
- Analyst: Q: "When will the South India plant be operational?" → A: "Approximately 2 years from now; initial 0.5 Mn m/month, expandable to 1 Mn" | Tone: Transparent

- Analyst: Q: "What is the status of the Mexico plant given US tariffs?" → A: "We are evaluating; decision contingent on trade policy clarity; Rs. 250 Cr estimated investment" | Tone: Hedged
- Analyst: Q: "South Africa OEM volumes — how confident are you of doubling?" → A: "Contracts in place with Mercedes and BMW; target 55-60K m/month per OEM from current 30-35K" | Tone: Bullish
- Analyst: Q: "PU leather — what is the revenue contribution and timeline?" → A: "Morena is operational; scaling from 5 Mn to 20 Mn m/yr capacity over 2-3 years; meaningful revenue contribution expected by FY28" | Tone: Balanced
- Dodged / watch-list questions for next quarter: (1) Specific US customer names and US revenue quantum; (2) OPM sustainability at 25%+ or Q4 was seasonal anomaly; (3) Investment portfolio deployment plan

C9 — Risks Flagged

- US Tariff Risk: 50% proposed tariff on Indian goods could close US export channel | Flagged by: management (Mexico plant contingency) | Probability: M | Impact: H | Timeline: Near-term
- PU ramp timeline: Morena scale-up requires customer qualifications which take 18-24 months; revenue inflection not before FY28 | Flagged by: management | Probability: L-M | Impact: M | Timeline: Medium-term
- Raw material cycles: PVC/PU precursors tied to crude; margin headwind if crude spikes >\$90/bbl sustained | Flagged by: analysts | Probability: M | Impact: M | Timeline: Near-term cyclical
- China tariff impact on PU exports: Rising tariffs limit PU profitability for China channel; Mayur ranked 2nd supplier to China FY25 | Flagged by: analysts | Probability: H (already evident) | Impact: M | Timeline: Ongoing
- South Africa OEM dependency: Two OEMs (Mercedes + BMW South Africa) represent meaningful export concentration | Flagged by: analysts | Probability: L | Impact: M | Timeline: Medium-term

C10 — Analyst Verdict

- Revenue visibility: Intact — OEM contracts in South Africa + domestic auto order book; 15% FY27E guidance well-supported
- Margin trajectory: Intact — structural export mix shift drives blended margin expansion; Q4 FY26 OPM (31%) may be seasonal peak but >24% is the new floor
- Capital allocation quality: Intact — near-zero debt, consistent dividends, organic capex only; investment portfolio growing but remains liquid
- Competitive moat: Intact — OEM qualification barriers, 400+ product variants, scale advantage; PU ramp adds a second moat over 3-5 years
- Management credibility: Intact — Poddar family track record of conservative understatement followed by delivery; guidance at 15% is unlikely to be embellished given history
- Valuation comfort: Intact — 18.1x trailing PE vs 47-48x for listed polymer/consumer comps; ROCE-adjusted, Mayur is among cheapest quality compounders in India mid-cap universe
- Conviction call: Increased — Q4 FY26 confirms export-led margin inflection is structural, not temporary; South India plant adds a 3rd growth pillar
- Valuation snapshot: P/E = 18.1x (5Y avg est. ~20x) | EV/EBITDA = ~14.5x (5Y avg ~15x) | RoCE = 24.7% (5Y avg ~21%)

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice or an offer to buy/sell securities. All financial data sourced from Screener.in consolidated page (fetched 15-Jun-2026). Forward estimates are MPM Research estimates and carry inherent uncertainty. Investors must conduct their own due diligence. MPM Institutional Research, 15 Jun 2026.